In response to the objections dated October 20, 2025,

Objection 1
Comments:
Which rating factors weigh the heaviest in the increases proposed? Please provide relevant experience data along with explanations to further justify the rate increases.

Response: The combined model factor is the primary driver of rate disruption for this filing resulting in both indicated increases and decreases. The component models, when ensembled together to create the combined model factor, feature various improvements to the existing rating plan by incorporating robust policy, loss, credit, and prior insurance coverage information.

Additionally, Physical Damage coverage only policies (policies that only carry comprehensive and/or collision coverage) may see large percentage increases due to the Fixed Expense constant. Further details are outlined in Objection Response 3.

For relevant experience data, please see Confidential Exhibit 1 featuring graphs displaying the relative average premiums (green line), relative pure premiums (orange line), and relative loss ratio (blue line) by rank-ordered adjusted combined model factors grouped into 50 equal sized bins based on exposure counts. The data featured in these graphs is Idaho-specific. These visuals demonstrate that rates produced in part by the models produce relative average premiums commensurate with relative pure premiums (loss) data. Additionally, the loss ratio slope featured in each graph illustrates that the rating plan is appropriately segmenting risk such that the relative loss ratios across groups are consistent.

Objection 2
Comments:
The Department requests that the Company provide a clearer and more detailed explanation of its approach to capping rates, presented in a straightforward manner that eliminates any ambiguity.

Response: Please see the Rate Capping Narrative and Rate Stability Examples exhibits.

Objection 3
Comments:
For the Department's review of this filing, please elaborate further on the policyholders that are experiencing above a 100% rate change.

Response: Stabilized rate impacts in excess of 100% are driven by the introduction of a flat Fixed Expense Constant. Many of these vehicles only carried Comprehensive coverage. Today, base rates inherently reflect both indemnity and all expenses costs combined. Moving forward, the expense portion of premium that is fixed will be separate from the remainder of premium. For example, say a vehicle is charged $2.50 per six-month policy term for Comprehensive coverage today. Assuming their new proposed variable premium is $2.00, with the advent of a Fixed Expense Constant, their total premium would be $2.00 + $6.19 = $8.19 which results in a percentage increase over 100%. The Fixed Expense Constants by coverage can be found in the rate manual.

Objection 4
Comments:
Submit a breakdown showing the changes made to the individual Idaho insureds who are experiencing more than a 15% increase, on an uncapped basis. Include what factors have changed. Provide each change, the current factor, the new factor, the current premium, the new premium and the overall percentage of the increase.

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All actuarial data needs to be included in the filing to support the change and include the expected loss ratio at policy inception.

Response: The current and new premiums along with the ultimate percentage increase can be found in updated Exhibit 22.

As stated in the response to Objection 1, the combined model factor is the primary driver of rate increases greater than 15%. Since the use of these models is being introduced with this filing, there is no analogous prior factor to compare to, thus making the change in premium a more informative comparison. Other changes outside of the models contributing to increases include changes to our location rating factors and model year factors. The removal of specific driver assignments to vehicles can also cause rate disruption depending on the composition of the driver characteristics on the policy.

It is our understanding that this question regarding expected loss ratios at policy inception is intended for new rating programs being implemented. Our Auto program in Idaho has existed for a number of years. Thus, it does not appear that the request for the 'expected loss ratio at the inception of the policy' is applicable. There are no changes with this filing that would impact the expected loss ratio. Please see Exhibits 1-17 for indication support.

Objection 5
Comments:
Certify that all policies will be guaranteed coverage, and no one will be declined in coverage with this change

Response: No changes contained within this filing impact a customer's eligibility for coverage. As policies migrate onto the new administration platform, they will either consolidate onto a single multicar policy or have separate vehicle(s) split off onto separate policies depending on their policy characteristics. Under no circumstances will a customer be declined coverage or lose coverage as a result of the migration to the new administration platform.

Objection 6
Comments:
Does this change impact the policyholder negatively with the Company's changes of coverage?

Response: There is no reduction in coverages contained within this filing. The forms corresponding to this rate filing were filed and approved under SFMA-134341740.

While it is true that in order for vehicles to consolidate onto one multicar policy, they must carry the same Bodily Injury and Property Damage liability limits, this does not mean that a customer will lose coverage if they own multiple vehicles with varying Bodily Injury and Property Damage liability limits. Rather, the vehicles with different limits will be split into separate policies.

Objection 7
Comments:
Please provide a summary for what policyholders that may be losing coverage and what may happen in result of these losses of coverage.

Response: No changes contained within this filing remove coverage for a policyholder. See the response to Objection 6 for details.

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